Project Description

Project Title: Supply Chain Resiliency & Margin Protection in Prestige Beauty: An Enterprise Integration Case Study

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Overview of Industry & Business Problem

The global prestige beauty and luxury consumer packaged goods (CPG) sector operates on high gross margins, typically ranging between 70% and 80% [1]. Historically, these stable cost structures are protected by strong brand equity, proprietary chemical/botanical formulations, and tightly controlled distribution networks [2]. However, the modern luxury beauty landscape faces unprecedented supply chain vulnerabilities driven by evolving cross-border trade tariffs, geopolitical friction along major maritime shipping lanes [10], and increasingly stringent compliance frameworks for chemical traceability [2].

A core operational vulnerability for multi-brand beauty conglomerates is an over-reliance on highly concentrated, single-sourced production and packaging nodes [2]. Whether a brand relies on localized European labs for premium skincare active ingredients [12], specialized manufacturers for heavy luxury glass bottling [11], or centralized East Asian contract manufacturing operations for cosmetic components [10], these single points of failure create immense operational risk. Disruptions at any individual sourcing node result in immediate retail stockouts across high-velocity "hero" SKU portfolios, with no active secondary routing paths available to defend global revenue [12].

Problem Statement

How can a prestige beauty brand transition from a vulnerable, single-factory sourcing matrix to a resilient, multi-supplier network without diluting its retail gross margins?

This project establishes an analytical scenario-modeling framework to quantify supply chain risks and margin exposure across a representative prestige beauty portfolio. Utilizing historic procurement logs [8] and e-commerce product registries [9], the study analyzes the core operational dependencies between supplier lead times, manufacturing costs, historical defect rates, and logistics transport modes across skincare, cosmetics, and haircare lines [8]. The primary objective is to isolate single-source operational bottlenecks and simulate how transitioning a percentage of procurement volume to dual-sourced or near-shored supply networks impacts landed product costs, lead-time variances, and ultimate ledger profitability [7].

Scope note: With 100 operational SKU records in the primary supply chain dataset, the scenario modeling is intentionally directional — illustrating analytical methodology and the relative risk profile across product types, suppliers, and transportation modes — rather than producing statistically generalizable forecasts. This is documented transparently in the Data Curation and EDA deliverables.

Potential Applications & System Integration (Why This Problem Matters)

For an organization looking to modernize its enterprise landscape, this project serves as an analytical proof-of-concept for integrating external data insights with core corporate master data environments:

ERP Master Data Calibration: The variance between baseline and tariff-adjusted margins can be mapped back to SAP S/4HANA or Oracle Cloud ERP Costing Views, triggering automated sourcing reviews if margins cross below an established corporate floor [3].

Warehouse Management (WMS) Optimization: By correlating supplier lead-time standard deviations against consumer demand metrics, the analysis establishes a model to dynamically recalculate and adjust Safety Stock and Reorder Points (ROP) within an enterprise WMS like Manhattan Active, mitigating stockout risks for viral products [6].

Connected Sales & Operations Planning (S&OP): Integrating external, consumer-facing digital registries (such as product rating trends and review velocity) into upstream planning tools like Anaplan or o9 Solutions creates an advanced demand-sensing signal, shifting supply chains from a reactive posture to a predictive one [4, 5].

Dataset(s) Under Consideration

Dataset 1 (Primary Operational Data): Supply Chain Analysis Dataset

Source: https://www.kaggle.com/datasets/harshsingh2209/supply-chain-analysis

Context/Collection: This dataset captures end-to-end operational logistics, procurement timelines, and manufacturing metrics modeled around a commercial cosmetics and beauty enterprise [8]. It serves as the primary master data transactional history for operational bottleneck mapping and cost-accounting calculations.

Major Variables: Product type, SKU, Price, Stock levels, Order quantities, Lead times, Lead time, Supplier name, Manufacturing costs, Defect rates, Inspection results, Shipping carriers, Transportation modes, and Routes [8].

Dataset 2 (Secondary Demand Signaling): Sephora Products and Customer Reviews Dataset

Source: https://www.kaggle.com/datasets/nadyinky/sephora-products-and-skincare-reviews

Context/Collection: A real-world registry containing multi-category beauty data scraped directly from Sephora online storefronts [9]. This dataset maps retail price indices and volume-driven customer sentiment indicators, providing an explicit look at downstream consumer sell-out activity.

Major Variables: product_name, brand_name, primary_category, secondary_category, tertiary_category, price_usd, ingredients, rating, reviews, loves_count, submission_time, is_recommended, skin_type, skin_tone, limited_edition, new, online_only, out_of_stock, sephora_exclusive [9].

Category Attribute Proxy Mapping & Sourcing Constraints

The primary transactional dataset restricts its geographic metadata to five localized domestic manufacturing hubs, preventing a direct relational join with macro-level international trade variables [8]. To simulate global trade complexities and margin insulation boundaries without introducing data scope creep, a Structural Attribute Proxy Strategy will be executed during the data curation phase. Rather than mapping macro risk to location fields, simulated tariff liabilities are engineered directly into the master data schema based on the intrinsic characteristics of the Product type column:

- **cosmetics** → Assigned an engineered 25% landed-cost tariff penalty applied to Manufacturing costs, simulating Section 301 trade actions on secondary packaging assemblies and cosmetic componentry heavily concentrated in East Asian supply networks [10].
- **skincare** → Assigned an engineered 10% premium applied to Manufacturing costs, reflecting Most-Favored-Nation (MFN) customs duty overheads for premium European active botanical formulations and specialized luxury glass packaging solutions under HS Codes 3303–3307 [11].
- **haircare** → Assigned a 0% baseline factor, serving as the operational control group representing domestic or near-shored regional distribution channels.

This engineered parameter, the Tariff Impact Coefficient, will function as a dynamic, user-controlled toggle variable within both the Python analytics pipeline and the Tableau datafolio. This enables executive Sales and Operations Planning (S&OP) sensitivity analysis, modeling the precise threshold where margin compression violates a luxury brand's mandated gross profit floor.

Generative AI Disclosure & Ethical Considerations

In alignment with enterprise compliance standards, Generative AI (specifically Claude 4.6 Sonnet via Claude.ai) was utilized for the below areas:

- **Project Scoping & Problem Formulation**: Claude was utilized to brainstorm industry-specific constraints and align raw Kaggle variables with complex enterprise parameters (ERP, WMS, S&OP).
- **Dataset Profiling**: Claude executed Python-based profiling scripts directly on uploaded datasets to generate real distribution statistics, null counts, and data quality findings. All numerical findings reported in this project are derived from actual data execution, not AI-generated estimates.
- **Data Curation & Feature Engineering Logic**: Claude assisted in identifying the localized geographical limitations of the primary dataset. It was used to stress-test the strategic logic of mapping the 2026 Tariff Impact Coefficient to product categories rather than location fields, ensuring a valid category risk proxy strategy without causing data scope creep.
- **Verification & Human Oversight**: Every technical output, corporate terminology reference, and data structure model has been manually reviewed and audited. All underlying architecture concepts, ERP master data mapping parameters, and strategic supply chain mitigation frameworks are derived entirely from the author's 20+ years of professional ERP configuration and technology consulting experience.

References

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